

**Q. Explain the overall Modernization Theory with It's Critics.
Or, What led to the development of modernization theory back in 1940s?**

The modernization movement of the **1950s and 1960s** represents an economic theory **rooted in capitalist ideology**, which views development as a linear progression from traditional to modern society. The concept of modernization encompasses the full **spectrum of social, economic, and institutional transformation** that a traditional society must undergo to become modern. Within this framework, modernization is portrayed as a process whereby **Africa is expected to emulate the developmental trajectory of Europe**, particularly its former colonial powers.

Modernization theory posits that improving living standards in underdeveloped societies requires the **dissemination of knowledge and modern techniques**. Policies designed under this framework often focus on replacing traditional practices with those perceived as more efficient and productive. In the context of agriculture, for example, modernization involves introducing **new crops, advanced production methods, and improved marketing techniques**. While these innovations aimed to increase productivity and reduce poverty, they also **marginalized indigenous knowledge systems** and reshaped traditional livelihoods, often with **uneven social and ecological impacts**. The modernization project, therefore, reflects both a **technocratic vision of development** and a continuation of **Western dominance in shaping the development agenda** of the Global South.

Criticisms

1. It's too theoretical

In seeking to redefine Africa's development trajectory, the West aimed to align it with its own economic model. The so-called "enlightened" development planners assumed the **responsibility of restructuring Africa's progress**, asserting that African development must follow a series of **distinct linear stages**, as proposed by Walt Rostow in his influential *Stages of Economic Growth* model.

Rostow's theory outlines five key stages: (not necessary to explain in 3 marks question)

Traditional Society: Characterized by **subsistence farming** and **barter trade**, with limited technological advancement or surplus production.

Preconditions for Take-off: Marked by **specialization**, the emergence of **surplus goods, increased trade**, and the development of **transport infrastructure** to support commercial activities. Savings and investment begin to rise.

Take-off: A phase of **rapid industrialization**, where the economy begins transitioning from agriculture to **manufacturing**, with increased productivity and investment.

Drive to Maturity: The economy **diversifies**, reducing reliance on imports and expanding into new sectors.

Age of High Mass Consumption: The economy enters a stage of **mass production**, with a growing dominance of the **service sector** and widespread consumerism.

However, this approach is **overly simplistic and theoretical**, failing to reflect the **complex and dynamic nature** of African economies. The linear development model can not explain the reality through the step by step process. It's not possible to categorize the complex development process in 5 categories. Economies can be on 2 or 3 categories at the same time.

2. Deculturalization of Traditional values

The concept of modernization presents development as a **process of externally driven change**, where **outside influences reshape individuals and cultures**. In this context, modernization requires individuals to **adapt their values and behavior** to align with changing social and economic realities. It implies that for development to occur, **Africans must abandon their indigenous cultural values** in favor of those **imposed by former colonial powers**. In essence, the theory promotes the idea that meaningful development in Africa must be **preceded by the deculturalization** of African societies.

Modernization of culture, therefore, entails a **transformation of the broader value systems, norms, and social attitudes** within which African people operate. This perspective overlooks the richness and relevance of **local traditions and indigenous knowledge systems**, treating them as obstacles rather than assets to development.

3. Oversimplified view of social change

One of the most **fundamental weaknesses** of modernization theory lies in its **oversimplified conception of social change**. The theory assumes that all societies will naturally transition from traditional to modern in a linear and uncontested manner. However, **human nature often resists change**, particularly when it threatens familiar structures and values. Change, by nature, introduces **uncertainty**, and this uncertainty can generate widespread reluctance or rejection, especially when development interventions are perceived as externally imposed or disconnected from local realities.

i. Loss of Agricultural land(from stage 2 to 3) : Limited lands make conflict between the farming and manufacturing sector. The rural to urban migration makes a huge change in the informal sector.

ii. Expansion in manufacturing sector cokes with environmental hazard.

RMG sector destroys waterbodies. Air/Sound pollution creates health hazards. Manufacturing powerplants creating health diseases like cancer etc. More than 1.50 Lac people died from airborne diseases.

iii. Automation/Artificial Intelligence leads to unemployment due to low skill.

A pertinent example is the **New Partnership for Africa's Development (NEPAD)**. Although it was introduced as a development strategy intended to accelerate Africa's socio-economic progress, it was largely **drafted and packaged by elites**, with minimal grassroots involvement. As a result, **many African heads of state and government criticized NEPAD**, perceiving it as **detached from the continent's socio-political realities** and overly influenced by foreign interests.

4. Imposition of External Models

i. Top down approach,

ii. Eurocentric approach,

iii. Foreign aid

The foundation in **deterministic reasoning** assumes that within the **linear model of socio-economic development**, change is primarily driven by **external forces**. This perspective minimizes the potential for **reciprocal causation**—the dynamic interaction between **internal (local)** and **external (foreign)** influences in shaping development outcomes.

By prioritizing externally initiated change, modernization theory implicitly legitimizes the right of **foreign powers to prescribe development pathways** for countries in the Global South. A clear example of this is the **Structural Adjustment Programs (SAPs)** imposed by the **International Monetary Fund (IMF)** and **World Bank** during the 1980s. the SAPs are widely regarded as a **Eurocentric experiment** that failed to foster meaningful development or alleviate poverty on the continent. Africa became the testing ground for these economic reforms, which were formulated with **little regard for the social, cultural, political, and traditional realities** of the recipient countries.

The Structural Adjustment Programs were designed based on **Western economic principles**, including currency devaluation, public sector downsizing, trade liberalization, and the removal of subsidies. However, these measures led to **increased poverty, unemployment, and weakened public institutions** in many African countries. This experience illustrates how modernization theory's **deterministic and top-down approach** can lead to **harmful policy interventions**.

Modernization is closely linked to the concept of **development aid** provided by developed countries. This approach was inspired by the **Marshall Plan**, which successfully facilitated the reconstruction of Western Europe following World War II. In the context of modernization theory, aid is seen as a tool for transferring capital, technology, and expertise from the Global North to the Global South, particularly Africa. Aid can be structured through **bilateral agreements** (between two countries) or **multilateral arrangements** (involving multiple states or international institutions). Whether through **preferential trade, market access, or political leverage**, these arrangements tend to **reinforce dependency** and sustain **unequal power relations**, rather than fostering genuine, self-sustained development in Africa.

5. Modernization that's defined by Technology

Modernization theory rightly acknowledges that **technology** is a key mechanism through which **monopoly capital** penetrates African economies and integrates them into the **global capitalist system**, particularly within the emerging influence of **Chinese capitalism**. According to some research [**Samir Amin et al. (1987)**] classical economists such as **Adam Smith, Karl Marx, and Alfred Marshall** recognized the central role of **technological innovation** in driving economic progress. From a **Marxist perspective**, the fundamental distinction between the modern, industrialized world and Africa lies not in cultural or intellectual differences but in **technological capability**—a difference shaped and reinforced by the **international division of labor**.

This arrangement has resulted in Africa occupying a **peripheral position** in the global economic hierarchy, with limited capacity for value addition or technological advancement. Such a structure perpetuates **economic dependency** and underdevelopment, making it difficult for African nations to break free from their role as raw material suppliers and move toward industrialization and technological self-sufficiency.

Q. Modernization theory is Eurocentric, Explain this.

Modernization theory emerged in the mid-20th century, particularly after World War II, as a way to explain how societies transition from traditional to modern forms. Developed mainly by Western scholars such as Walt Rostow, Talcott Parsons, and Daniel Lerner, the theory assumes

that all societies move through linear stages of economic growth, industrialization, urbanization, and cultural change—ultimately aiming to resemble the Western capitalist democracies. However, over time, the theory has been widely criticized for being **Eurocentric**—that is, centered around and biased toward European (or broadly Western) experiences, values, and historical trajectories. This Eurocentrism reflects a deeper intellectual issue in development studies: the assumption that the West’s model of progress is universally applicable and desirable. This essay explores the various dimensions of Eurocentrism in modernization theory, including its historical roots, theoretical assumptions, cultural biases, and political implications.

Western Development as a Universal Model

Modernization theory fundamentally assumes that the development path followed by Western Europe and North America is the ideal trajectory for all societies. This belief is encapsulated in Walt Rostow’s famous “**Stages of Economic Growth**” (1960), which outlined a five-stage model. This model presumes that underdeveloped nations are simply earlier versions of developed nations and will eventually follow the same path if they adopt the right policies and values. Such thinking ignores the specific historical, geographical, and cultural contexts of different regions. It fails to acknowledge that the development of Western countries was not merely a product of internal factors such as hard work and innovation but also heavily depended on **colonial exploitation, slave labor, and resource extraction**.

Cultural Superiority and the Denigration of “Traditional” Societies

Modernization theory often divides societies into binary opposites: traditional vs. modern, irrational vs. rational, agrarian vs. industrial, communal vs. individualistic. These contrasts are not neutral; they value Western traits while devaluing non-Western ones. For example, traditional beliefs, communal living, or extended family structures common in African, Asian, or Indigenous societies are often portrayed as barriers to progress.

This framework reinforces a kind of **cultural imperialism**, where Western values such as individualism, secularism, democracy, and capitalism are seen as universal goals.

Ignoring the Legacy of Colonialism and Structural Inequality

By attributing underdevelopment to internal deficiencies—such as lack of education, tradition-bound thinking, or poor governance—it obscures the fact that many countries in the Global South were **deliberately underdeveloped** through centuries of colonization and imperial control.

Colonial powers extracted wealth, disrupted local economies, imposed artificial borders, and dismantled indigenous institutions. These actions created deep structural dependencies that continued even after formal independence. Modernization theory ignores this historical context and instead blames the victims of colonialism for their own poverty and backwardness.

The Illusion of a Linear, Unidirectional Path

Modernization theory is based on the idea that history progresses in a linear, unidirectional path from “primitive” to “civilized” societies. This **teleological approach** (i.e., assuming a fixed end goal) overlooks the complexity and variability of historical change. It also assumes that all countries are at different points on the same ladder, which implies that some societies are inherently “behind” others.

Such linear thinking is not only simplistic but also arrogant. It denies the possibility that different societies might pursue **alternative forms of modernity** that are not based on Western industrial capitalism. For example, some countries might prioritize communal welfare over individual profit, spiritual values over material consumption, or environmental sustainability over economic growth. These paths are not “backward”; they are simply different.

Political and Ideological Functions of Modernization Theory

Modernization theory was not developed in a political vacuum. It was strongly supported by Western governments, especially the United States, during the Cold War as a counter-ideology to communism and anti-colonial nationalism. By promoting capitalist development and liberal democracy, modernization theory served as a **soft tool of Western influence**, particularly in Asia, Africa, and Latin America.

Development programs, foreign aid often promoted modernization-style policies—such as free-market reforms, privatization, and Western education systems. However, these policies frequently led to social disruption, increased inequality, and the erosion of indigenous knowledge systems. Thus, modernization theory helped justify a new form of **neocolonial control** under the guise of helping “backward” nations catch up.

In today’s interconnected and diverse world, development theory must move beyond Eurocentrism. It must embrace multiple modernities, acknowledge historical injustices, and give voice to the people and communities who have long been marginalized in the global conversation on progress.

Q. Marx critics about Modernization theory, Explain.

Technological Innovation and the Division of Labor

Karl Marx and Alfred Marshall both emphasized the importance of **technological innovation** in driving economic development. However, their analyses diverge significantly in purpose and perspective.

Marshall, a neoclassical economist, viewed technology as a neutral and progressive force that enhances productivity, markets, and living standards. In modernization theory, this belief translates into the idea that **African countries must adopt Western technologies and institutions** to modernize.

Marx, however, saw technological innovation within the framework of **class struggle and capitalist exploitation**. In his view, technology was not just a tool for progress but also a **mechanism of control**, concentrating wealth and deepening inequality. Marxists argue that Africa's **lack of technological advancement is not natural or internal**, but the **result of an international division of labor** that structurally prevents African countries from advancing beyond primary production.

In Example: While Western nations dominate in producing high-value manufactured goods like military weapon, aircraft, automobile ; African nations hardly have access to technology which are highly expensive, inadequate with capital & increased amount of patent laws. African nations are locked into the role of exporting raw materials such as cocoa, oil, and minerals.

Modernization as a Mask for Colonialism and Exploitation

Modernization theory claims to offer a path to development, but in the African context, it has often **legitimized exploitation and deepened underdevelopment**.

Colonialism was justified as a civilizing mission to bring modernity to backward societies. Roads, railways, and schools were built—not to benefit Africans, but to **extract raw materials** and create a **cheap labor force**.

Post-independence modernization policies—backed by international institutions—repackaged the colonial project as development aid, technical assistance, and modernization plans. These often led to **debt traps, economic instability, and loss of sovereignty**.

As you rightly point out, this pattern continues today, not only with Western powers but increasingly with **Eastern powers** like China and India, who are **competing for Africa's natural resources**. While their rhetoric avoids colonial language, their economic strategies—focused on oil, minerals, and infrastructure-for-resources deals—continue the **pattern of external extraction**.

Q. What are the main agenda of IMF/WB in the name of Structural reform? Or, Describe at least 3 economic policies prescribed by Washington consensus under the direction of WB/IMF. Discuss the reasons & their impacts.

The *Washington Consensus* refers to a set of 10 economic policy prescriptions developed in the late 1980s and early 1990s by institutions based in Washington, D.C. — chiefly the **IMF, World Bank, and U.S. Treasury**. It became a blueprint for structural reform in developing countries.

Core Policies of the Washington Consensus are

Fiscal discipline, Reordering public spending (prioritize health, education, and infrastructure)

Tax reform, Liberalizing interest rates, A competitive exchange rate via devaluation,

Trade liberalization by removing tariffs and quotas, **Liberalization of inward FDI** remove barriers, **Privatization & Property rights** by ensure legal security for property owners.

The main agenda of the IMF and World Bank's structural reform programs is to transform developing economies into market-oriented, globally integrated systems through a set of economic policies collectively known as structural adjustment. These reforms aim to promote macroeconomic stability, reduce fiscal deficits, encourage private sector participation, and integrate countries more deeply into the global economy. Central to this agenda is **fiscal discipline**, where countries are required to cut public spending, reduce budget deficits, and remove subsidies—often at the cost of essential services like health, education, and food security. Another key component is **trade liberalization**, which involves reducing tariffs, opening up markets to foreign goods, and encouraging export-led growth. **Privatization** is also heavily emphasized, with governments expected to sell state-owned enterprises to improve efficiency and reduce the financial burden on the public sector.

These reforms often come with strict conditionality tied to loans or debt relief. Countries must adopt market-friendly policies such as deregulation, currency devaluation, tax reform, and the liberalization of foreign direct investment. While these policies are promoted as paths to growth, increased efficiency, and investment, they have also been widely criticized. In many cases, they have led to rising inequality, social unrest, weakened domestic industries, and reduced state capacity to provide basic services. Overall, the IMF and World Bank's structural reform agenda

reflects a belief in the supremacy of free-market principles, often placing economic liberalization above social protection and national development priorities.

Q. What are the impact of these reforms?

A. Fiscal Discipline

Conditons:

- to increase revenue by increasing VAT & reducing public spendings,
- to reduce fiscal deficiencies,
- to increase export earnings.

Incentive:

Control inflation,
reduce foreign loans.

Long-run Impact :

- Increase in VAT affects the low income people.
- Reduction in public spending comes with the budget cut in health, education, SSN, agriculture etc.
- Huge commercialization of health & education sector.

B. Free Trade

Conditions

- Remove tariffs and quotas.
- Remove Subsidy that deteriorate trade or price.

Incentives

- Promote exports,
- Integrate into global economy

Long-run Impact

- Local industries often suffered with low price & high value product & loose incentive to produce
- Import dependency

C. Privatization

Condition

- Reduce/Sell State Owned Enterprices (SOEs) to private actors (often foreign). i.e Jute, sugar mills.

Incentives

- Improve efficiency
- reduce fiscal burden.

Long Run Impacts

- Job losses
- higher prices, monopolies
- Mixed results on efficiency.

While structural reforms under the **Washington Consensus**, led by the **IMF and World Bank**, were meant to modernize economies, the results were mixed. Economies became more open but less equitable. Macroeconomic stability was often achieved **at the cost of social well-being**. Critics argue that reforms prioritized **foreign investors** over **local needs**, undermining sovereignty and development paths.

Q. What led to the development of dependency theory?

Or, Discuss main arguments/ the role of dependency theory as a critique of Modernization theory.

Or, Dependency theorists argue that Rostow model ignores historical economic reality of the west, Explain.

Dependency theory: In the **1950s**, dissatisfaction with **modernization theory** which posited that all societies progress through similar linear stages of development, often modeled after the West, sparked the rise of **dependency theory**.

The theory's promise that Western-style economic growth would benefit all was unfulfilled. Dependency theorists highlight ongoing **economic domination** even after political decolonization. Development cannot be considered legitimate if it leaves vast populations in poverty and hopelessness.

Dependency theory emerged as a **radical alternative**, focusing on **structural inequality** in the global system and the **historical roots of underdevelopment**. It shifted attention away from internal deficiencies in poor countries (as modernization theory did) to the **exploitative global relationships** that maintain poverty.

Dependency theory as a critique of Modernization theory:

1. Colonization and Historical Exploitation Ignored

Modernization theory treats underdevelopment as an internal failure, ignoring the **colonial legacy** that systematically extracted wealth from colonies to enrich Western powers. Dependency theorists argue that the **colonization of Africa, Asia, and Latin America** created economic structures that continue to benefit the Global North while **locking the South in poverty**.

2. Human Capital Outflow (Brain Drain)

Modernization overlooks the continued **loss of skilled labor** from developing countries. Instead of benefiting from their educated populations, many former colonies see doctors, engineers, and academics migrate to developed nations mostly between 15-19th century, **weakening local capacity** for growth and development. This **brain drain** perpetuates dependency.

Brain drain can be illustrated by a scale (1-10); where 10 shows the highest level of human capital flight Bangladesh index 6.7 in 2024(Global 4.98)

Example of South Africa

The brain drain from South Africa between 1994 and 2014 is a well-documented example that supports dependency theory's critique of global inequality—particularly the outflow of human capital from developing to developed countries.

Between 1994 and 2014, approximately **1.6 million** South Africans, particularly those in skilled, professional, and managerial occupations, emigrated. Major destination countries included the United States, Canada, United Kingdom, Australia, and New Zealand.

South Africa lost around **25% of its university graduates to the USA** alone during this period. This loss significantly affected the availability of engineers, doctors, academics, and IT professionals.

According to World Health Organization (WHO) data, South Africa accounted for **9.7% of all international medical graduates** practicing in Canada by the early 2000s. This weakened South Africa's healthcare system while boosting public services in developed countries.

3. Internal and Regional Inequality

According to modernization theory, regional inequality exists but it's a temporary feature in world economy. It also believes that the gap diminishes gradually. But Dependency theory says that the inequality is a permanent feature. Systematic exploitation through the MNCs & private organisations. After 1960s, the newly liberated African colonies exported only the low value products like the raw materials (coffee, cocoa, cotton, aluminiums etc) but imported highly valued vehicles, machineries & processed foods. That mainly nurtured the inequality. In many post-colonial states, **urban elites also exploit rural areas**, mirroring global inequalities.

4. External Control Over Development

While modernization promotes integration into the global economy, dependency theorists argue that **Western powers and institutions (like the IMF, World Bank, WTO)** continue to dictate the terms of trade, investment, and policy. Thus, the level and direction of development in former colonies are often **controlled externally**, not decided by the nations themselves.

Dependency theory exposes how **global capitalism and historical exploitation** create and maintain underdevelopment. It rejects the idea that simply adopting Western models will lead to prosperity and instead calls for **restructuring global economic relations** and increasing autonomy for the Global South.

Q. Explain 3 CRITIQUES OF DEPENDENCY THEORY

While dependency theory offers a powerful critique of global inequality and colonial legacies, it has faced several criticisms, particularly regarding its deterministic outlook, overemphasis on external factors, and failure to account for successful development cases. Below are the major critiques:

Overemphasis on External Factors & Ignoring Internal Dynamics

Dependency theory often blames underdevelopment solely on external exploitation by the western nations for their colonization but it also downplaying or ignoring internal factors such as:

Corruption

Poor governance

Authoritarianism

Policy mismanagement

Political leaders in many postcolonial states have played a key role in sustaining inequality and misusing resources.

Ignoring Successful Development Cases

Dependency theory is criticized for failing to explain the rapid development of some former colonies, especially in East Asia, such as:

South Korea

Taiwan

Singapore

China (post-1978 reforms)

These countries engaged with the global capitalist system but used strategic state intervention, export-oriented industrialization, and technology transfer to break out of dependency traps through good governance, dynamic leadership & self depending policies etc.

Multistaged or Evolving Dependency

Critics argue that dependency is not static or uniform. It evolves over time and can take different forms:

* Trade dependency : RMG owners vs workers

* Technological dependency : Land owners vs businesses

* Financial or debt dependency: Financial lenders vs small businesses

Countries can move through stages of dependency and potentially reshape their position in the global hierarchy. Policies like import substitution industrialization (ISI), promoted by dependency theorists, often failed due to inefficiency, lack of competitiveness, and corruption.

More Questions [Previous Years]

46 [2b] Explain how the dependency theorists explain the role of technology in sustaining regional inequality?

46 [8b] Recommend at least 3 trade/economic policies which might help a particular local industry in Bangladesh to flourish in the face of global competition.

Ans: Export Subsidies & Incentives, Tariff protection & anti dumping measures, Investment in technology & skill development, Preferential trade agreements